

Business Recommendations

Risk Management

- Strengthen approval policies for Loan Type 2 due to its high default rate.
- Increase verification for applicants aged above 74 years.
- Combine credit score with additional risk factors before approving loans.

Portfolio Optimization

- Continuously monitor high-risk loan segments.
- Review pricing strategy for higher-risk borrowers.
- Focus on improving loan quality instead of only increasing loan volume.

Operational Recommendations

- Perform periodic portfolio risk reviews.
- Develop automated risk monitoring dashboards.
- Introduce early warning systems for high-risk borrowers.
- Regularly track regional loan performance to identify emerging risks.

Expected Business Benefits

- Reduce loan defaults.
- Improve portfolio quality.
- Strengthen credit risk management.
- Support data-driven lending decisions.
- Increase overall profitability while minimizing financial risk.